

'TATA SKY-ISKO laga dala, toh life jinga la la.' (Once you get Tata Sky, your life is on the right track). This popular jingle from an old Tata Sky ad was crucial in powering the direct-to-home (DTH) broadcaster to pole position in the DTH space. While it has retained the position with a market share of 33 per cent, the new rendition of that jingle is slightly different; it starts with Tata Play after the company rebranded itself in January 2022.

90 | In the fast-paced business of entertainment where the battle for dominance is relentless, Tata Play has taken a leap of faith with its over-the-top (OTT) content aggregation platform Tata Play Binge, launched for all customers in October 2022. "It's both charted and uncharted [territory] for us," Harit Nagpal, MD and CEO of the company, tells *BT*. (More on that later.)

But first, a little background. Analysts estimate that while the TV industry's DTH segment will grow by just around 3-4 per cent in the near term, its average revenue per user (ARPU) will grow by 6-7 per cent. According to financial services firm Elara Capital, the DTH market will grow only slightly, while a major proportion of growth will come from households with connected TVs and free-to-air channels in the next few years. Further, Tata Play's income from the DTH segment dropped 7 per cent, from ₹4,567 crore in FY22 to ₹4,240 crore in FY23, per data from

Tofler. This is why diversifying into the OTT aggregation model makes eminent sense for it. "We started working on this platform about three to four years ago. We knew we had to deliver a different customer experience," says Nagpal.

He adds that Binge's USP lies in making content both discoverable and affordable, while also complementing the company's DTH business—that contributes close to 96 percent to its top line. "It is charted territory for us because we have been in the business of distributing content. Now, if our subscribers have started watching on-demand content, then it's our job to create a platform that gives them the same facility," says Nagpal, adding that the firm is confident of bringing more eyeballs to Binge from outside its primary customer base. "We've spent the past two years testing this platform with our DTH customers because they would definitely be more forgiving," he says. The company had rolled out the OTT aggregation service for its DTH subscribers in 2020.

Now, as the company embarks on its inevitable transformation, sceptics wonder if it's a stroke of genius or a perilous folly, especially

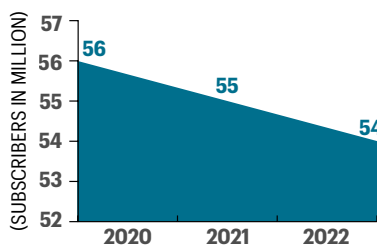
when competition from telcos like Reliance Jio and Airtel, pure play OTT aggregators like OTTplay, scope video by YuppTV, and OTT-cum-aggregator platforms like Amazon Prime Video and Apple TV+ is intensifying. Even customers' growing preference for OTTs poses a huge risk. "The growing popularity of OTT could be a threat to DTH operators in the medium to long term. With limited product differentiation, the DTH industry is exposed to intense internal competition, and from cable TV as well as DD Free Dish," states a CRISIL Ratings report. It adds that the drop in Tata Play's active DTH subscriber base is due to industry-wide headwinds and growing digital entertainment options. Interestingly, the firm—that has been mulling an IPO for the past few years—posted a net loss of ₹105 crore in FY23, compared to a net profit of ₹69 crore in FY22.

However, Nagpal says, "It is going to be difficult for a subscriber who wants to watch content to have subscription relationships with multiple apps". But even as customers make do with multiple OTT apps for now, it has not been any easier for the company as well. "It wasn't easy to forge relationships with each platform because everyone wanted to go direct-to-customer and not through an aggregator. But we knew that in the end, the need of the customer would become supreme," says Nagpal.

In an era when subscribers can choose from around 60 OTT apps, the aggregation space is fast becoming the new theatre of battle for content broadcasters. Moreover, the pricing has to be such that consumers get 20-30 apps at the price of three or four apps, which is what players like Tata Play and OTTplay are trying to achieve. "Today, everyone from

WEAK SIGNALS

Active paid subscriptions of DTH industry continue to decline YoY



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